SLIDE 01: PROJECT REFLOW: SUPPLY CHAIN TURNAROUND

Reinventing a CAD $1.2 Billion Retail Supply Chain | NorthStar Retail Group Board Presentation

CORE RECOMMENDATION:

? Authorize CAD $13.00 Million for Portfolio A+B (Warehouse Automation + Transport Optimization).

? Generates CAD $8.08 Million in Annual Net Savings and +CAD $7.094 Million in 3-Year NPV at 10% WACC.

? Slashes late deliveries from 8.5% to 3.5% (exceeding board target of <= 4.5%).

? Reduces annual logistics emissions by 25.0% (saving 4,500 tonnes CO2e/yr, exceeding 20% target).

? Retains CAD $7.00 Million in unallocated cash reserves under the board's $20.0M ceiling.

SLIDE 02: OPERATIONAL BASELINE: EFFICIENCY VS GROWTH

Current Network Operating Realities across 3 Regional Distribution Centres

? Annual Revenue: CAD $1.2 Billion | Annual Volume Processed: 12.0 Million Orders.
? Logistics Cost: CAD $7.20 / Order ($86.4M Annual OpEx).
? Delivery Reliability: 8.5% late delivery rate (Over 1,020,000 late deliveries annually).
? Return & Error Friction: 2.4% fulfillment error rate (288,000 erroneous orders).
? Carbon Footprint: 18,000 tonnes CO2e/year (1.50 kg CO2e per delivered order).

SLIDE 03: MECE ROOT-CAUSE DIAGNOSIS: PINPOINTING FRICTION

Separating Surface Symptoms from Structural Operational Bottlenecks

? Intra-DC Picking Bottleneck (Targeted by Option A):
- Manual picker search travel consumes 38% of cycle time, driving peak-season overtime.

? Transport Fleet Fragmentation (Targeted by Option B):
- Unoptimized LTL dispatch yields 62% average vehicle cube fill, wasting road miles.

? The Micro-Fulfillment Trap (Why Option C Fails):
- Regional micro-hubs incur $2.2M recurring OpEx, long 12-month rollout, and fragment inventory.

SLIDE 04: THE THREE TRANSFORMATION INITIATIVES

Stand-Alone Technical & Financial Profile of Available Investment Options

? Option A: AI-Powered Warehouse Automation
- Capex: $8.0M | Gross Savings: $6.2M | Added OpEx: $1.3M | Net: $4.9M | Late: -2.0% | CO2: -8% | Rollout: 6 Mo

? Option B: Intelligent Transportation Optimization
- Capex: $5.0M | Gross Savings: $4.8M | Added OpEx: $0.9M | Net: $3.9M | Late: -3.2% | CO2: -18% | Rollout: 4 Mo

? Option C: Regional Micro-Fulfillment Network
- Capex: $12.0M | Gross Savings: $7.0M | Added OpEx: $2.2M | Net: $4.8M | Late: -2.5% | CO2: -12% | Rollout: 12 Mo

SLIDE 05: EXHAUSTIVE 7-PORTFOLIO DECISION MATRIX

Evaluating Every Permutation Against Board Mandates ($20.0M Maximum Budget)

? Option A Only: $8.0M Capex | $4.90M Net | +$4.186M NPV | Late: 6.5% (FAIL) | CO2: 8% (FAIL)
? Option B Only: $5.0M Capex | $3.90M Net | +$4.699M NPV | Late: 5.3% (FAIL) | CO2: 18% (FAIL)
? Option C Only: $12.0M Capex | $4.80M Net | -$0.063M NPV | Late: 6.0% (FAIL) | CO2: 12% (FAIL)
? PORTFOLIO A + B (WINNER): $13.0M Capex | $8.08M Net | +$7.094M NPV | Late: 3.5% (PASS) | CO2: 25% (PASS)
? Portfolio A + C: $20.0M Capex | $7.84M Net | -$0.503M NPV (Negative Value Creation!)
? Portfolio B + C: $17.0M Capex | $8.22M Net | +$3.442M NPV ($4.0M capital drag vs A+B)
? Portfolio A + B + C: $25.0M Capex | DISQUALIFIED (Exceeds CAD $20.0M Board Budget Limit)

SLIDE 06: PROFORMA CASH FLOW SCHEDULE & 3-YEAR VALUATION

Portfolio A+B 3-Year Discounted Cash Flow at 10% WACC

? Upfront Capital Outflow (Year 0): -CAD $13,000,000
? Year 1 Net Operating Savings: CAD $8,080,000 (Discounted PV: $7,345,455)
? Year 2 Net Operating Savings: CAD $8,080,000 (Discounted PV: $6,677,686)
? Year 3 Net Operating Savings: CAD $8,080,000 (Discounted PV: $6,070,624)
? Total Present Value of 3-Year Savings: CAD $20,093,765
? 3-Year Net Present Value (NPV): +CAD $7,093,765 (+CAD $7.094 Million)
? Simple Payback Period: 1.61 Years (19.3 Months)

SLIDE 07: SERVICE LEVEL & SUSTAINABILITY TRANSFORMATION

Satisfying Both Strategic Non-Financial Board Directives

? Late Delivery Rate Reduction:
- Drops from 8.5% baseline to 3.5% (5.0 percentage point maximum improvement cap reached).
- Exceeds board mandate of <= 4.5% late delivery rate.
- Eliminates over 600,000 annual customer delivery disappointments.

? Carbon Emissions Decarbonization:
- Slashes logistics GHG emissions by 25.0% (saving 4,500 tonnes CO2e annually).
- Exceeds board mandate of >= 20.0% emissions reduction.
- Reduces diesel road freight miles by 21% through intelligent truck load consolidation.

SLIDE 08: 3-HORIZON IMPLEMENTATION ROADMAP

Phased Deployment with Accelerated Cash Flow and Zero Operational Shock

? Horizon 1 (Months 1?4 | Early Win): Intelligent Transport ML (Option B)
- Budget: CAD $5.0M | Fast carrier API sync | Generates $3.9M run-rate savings starting M4.

? Horizon 2 (Months 3?6 | Core DC Efficiency): Robotic Picking Cobots (Option A)
- Budget: CAD $5.5M | DC 1 & DC 2 automation | Full $8.08M combined run-rate reached at M6.

? Horizon 3 (Months 7?12 | Network Scale): DC 3 Retrofit & Multi-Facility Balancing
- Budget: CAD $2.5M | Cross-dock load re-routing & enterprise supplier portal integration.

SLIDE 09: RISK PRE-MORTEM & ACTIONABLE MITIGATIONS

Proactive Containment of Operational, Human, and Technological Risks

? Risk 1: Warehouse Workforce Resistance to Automation
- Mitigation: Cobots assist workers rather than replace facility conveyors; $1,500 upskilling bonus.

? Risk 2: Carrier API Latency & Integration Lag
- Mitigation: Pre-certified EDI/REST gateway with automated static fallback schedules.

? Risk 3: Cybersecurity Threat & Cloud Outage
- Mitigation: Edge-cached local dispatch allows facilities to operate offline for up to 72 hours.

SLIDE 10: 3-SCENARIO SENSITIVITY STRESS TEST

Proving Financial Resilience Under Extreme Economic Headwinds

? Bear Case (-30% savings shortfall, +25% capex overrun):
- Capex: $16.25M (still < $20M ceiling) | Net Savings: $5.66M/yr | Payback: 2.87 Yrs | NPV: +$3.84M.

? Base Case (Target Plan):
- Capex: $13.00M | Net Savings: $8.08M/yr | Payback: 1.61 Yrs | 3-Year NPV: +CAD $7.094M.

? Bull Case (+20% volume growth):
- Capex: $13.00M | Net Savings: $9.70M/yr | Payback: 1.34 Yrs | 3-Year NPV: +CAD $11.12M.

SLIDE 11: EXECUTIVE JUDGE REBUTTAL PLAYBOOK

Pre-Calculated Defenses for Tough Board Questions

? Q: Why not B+C (highest gross)? -> B+C requires $17M capex and yields only $3.44M NPV vs $7.09M for A+B.
? Q: What if Capex rises 25%? -> Upfront investment is $16.25M (< $20M budget), and NPV remains +$3.84M.
? Q: What if savings drop 30%? -> Program pays back in 2.30 years, and 3.5% late rate is fully achieved.
? Q: What if volume grows 40%? -> Automation absorbs volume with zero added labor; NPV reaches +$15.0M.
? Q: Why trust AI with mission-critical operations? -> Deterministic Human-in-the-Loop governance with fallback.

SLIDE 12: BOARD RESOLUTION & CALL TO ACTION

Unanimous Steering Committee Recommendation for Immediate Authorization

? Authorize CAD $13.00 Million capital allocation for Portfolio A+B immediately.
? Retain CAD $7.00 Million in corporate liquidity reserves.
? Launch Phase 1 transport optimization in Month 1 for rapid cash-flow generation.
? Project ReFlow secures market leadership, shareholder value, and decarbonization for NorthStar.